

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

The question required the candidates to discuss employees' breach of fiduciary duties owed to their employer and the legal consequences.

Under common law, not only a director, but also a senior employee, owes his/ her employer various fiduciary duties:

- (i) It is the primary duty of an employee to serve his/ her employer with fidelity to their employer. The duty of fidelity is also known as "the duty of good faith" or "loyalty".

Therefore, the employee, as a fiduciary, undertakes to place the interest of his/ her employer ahead of his/ her own, and should not place himself/ herself in a position which is in conflict with the interest of his/ her employer.

An employee has a fiduciary duty not to solicit clients or act in accordance with the suggestion of a client to leave his/ her employer to take up its business while he/ she is still in the employment of his/ her employer.

According to the case *Koo & Yip v Koo Hoi Yan* [2003] 3 HKLRD 296, setting up a company or business in direct competition with the former employer after termination of employment must be conducted within reasonable limits.

- (ii) During a period of employment, an employee has an implied duty of fidelity not to disclose any confidential information relating to the employer's business.

In the recent Hong Kong case of *Green Light Multiplex Co. Ltd v Lam Shi Yan and Another* [2024] HKCFI 2101, the defendant was employed by the plaintiff as a General Manager responsible for the daily management and project management. He reported to Mr Lai, the Managing Director and founder of the plaintiff. The defendant secured a company (Abacus Lighting Limited) to enter into an agreement with his employer pursuant to which the company granted his employer the exclusive right to purchase, promote and resell the products and services manufactured and/ or sold by the company (the "Exclusive Distributor Agreement").

Subsequently, the working relationship between the defendant and Mr Lai turned sour. The defendant then tendered his resignation. Before he left his employer, he caused the company to terminate the Exclusive Distributor Agreement with the plaintiff. Furthermore, the defendant disclosed some of the plaintiff's confidential information to another company and diverted some of the plaintiff's business opportunities to that company. The defendant's breach of fiduciary duties owed to the plaintiff resulted in the plaintiff's loss of profits. It was held that the defendant was in breach of fiduciary duties owed to the plaintiff and the plaintiff was awarded damages for its loss of profits.

- (iii) The employee must account for any secret profits or commission received in connection with their employment.
- (iv) An employee has a duty to indemnify his/ her employer for any financial losses resulting from his/ her breach of duty.

Like the defendant in the Green Light case, John had breached the fiduciary duties he owed to HTL by disclosing confidential information about HTL to another company and diverting HTL's business opportunities to his own company and another company during his employment with HTL. John's breach of fiduciary duties owed to HTL resulted in HTL's loss of profits.

Therefore, John is probably liable to pay damages to HTL for the latter's loss of profits.

Answer 1(b)

This question required the candidates to discuss whether John may have committed any offence under the Prevention of Bribery Ordinance (Cap.201) ("POBO").

The POBO aims at combating corruption. The key section which deals with corrupt transactions with agents is s.9.

S.9(1):

Any agent who, without lawful authority or reasonable excuse, solicits or accepts any advantage as an inducement to or reward for or otherwise on account of his doing or forbearing to do, or having done or forborne to do, any act in relation to his principal's affairs or business shall be guilty of an offence.

S.9(2):

Any person who, without lawful authority or reasonable excuse, offers any advantage to any agent as an inducement to or reward for or otherwise on account of the agent's doing or forbearing to do, or having done or forborne to do, any act in relation to his principal's affairs or business shall be guilty of an offence.

Advantage means any gift, loan, fee, reward or commission consisting of money or of any valuable security or of other property or interest in property of any description.

The maximum penalty is seven years' imprisonment and a fine of HK\$500,000.

By offering to Beatrice a monetary reward in exchange for GAL's engaging his company to be GAL's exclusive service provider of software applications, John has committed an offence under s.9(2).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 1(c)

This question required the candidates to discuss the civil jurisdiction of the District Court.

The District Court has both criminal and civil jurisdictions. As regards its civil jurisdiction, the District Court can hear disputes relating to contracts involving an amount exceeding HK\$75,000 and up to HK\$3 million.

It also deals with claims for recovery of land involving an amount of up to HK\$7 million and cases involving annual rent or a rateable value of an amount of up to HK\$320,000. It also has jurisdiction over employees' compensation claims, equal opportunity claims and matrimonial matters such as divorce and maintenance. The District Court has no appellate jurisdiction. As HTL's claim against John involves an amount of HK\$2.5 million, the District Court will probably hear HTL's case.

Answer 2(a)

This question required the candidates to discuss the ways of discharging a contract.

A contract can be discharged in the following ways:

I. Discharge by Performance

The general rule is performance must be precise and exact. A contract is fully discharged when both parties have fully and precisely performed their obligations as set out in the contract.

(i) Entire contract

If a contract is indivisible or entire, it is conditional on performance of all the obligations of the other party if consideration is to pass from one party. A relevant case is *Cutter v Powell* [1795] 6 Term Rep 320 in which the widow of Mr Cutter (the deceased seaman) failed to claim for payment of wages for work done before Mr Cutter's death because Mr Cutter did not complete the voyage before his death.

Partial performance

A claim may be made by a party who has not completely performed the contract if the other party to the contract has received a benefit from and agreed to accept the partial performance when it became clear that there would not be exact performance.

Substantial performance

Under the doctrine of substantial performance, a party who has performed his contractual obligations except for minor matters or defects will be allowed to enforce the contractual obligations of the other party subject to a proportionate reduction for damages in respect of the defects. A relevant case is *Hoenig v Isaacs* [1952] 2 All ER 176 relating to decoration work in which there were minor defects in respect of a bookshelf and a door.

(ii) Divisible contract

If a contract involves a number of considerations for a number of acts, for example, in the case of a contract to deliver goods by instalments whereby payment for the price fixed per instalment is due upon delivery of each instalment of goods, the contract may be divisible. In this case, a contract can be divided into different stages so that a party is entitled to some payment upon completion of each stage.

II. Discharge of contract by agreement of the parties

Where a contract is executory on both sides, the parties may discharge it by mutual consent so that they are both released from performing their respective outstanding contractual obligations.

A contract can be terminated by notice given by one party pursuant to the relevant provisions in the contract or upon the occurrence of a specified event as stipulated in a force majeure clause so that both parties are automatically relieved from performance of their contractual obligations.

III. Discharge of contract by breach

Breach of contract occurs when a party fails or refuses to provide due performance of his/ her contractual obligations at the stipulated time.

Repudiation occurs when a party fails or refuses to duly perform his contractual obligations at the stipulated time for performance. Refusal to perform a contract amounts to a repudiation which entitles the other party to rescind or treat the contract as at an end if it is a refusal to perform a condition, i.e., something which goes to the root or essence of the contract or if a party is in breach of an innominate term in such a way that the non-breaching party is deprived of substantially the whole benefit of the contract, see *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26.

Repudiation will give the innocent party the right to rescind the contract and claim damages.

IV. Discharge by frustration

The doctrine of frustration operates to relieve parties from further performance of contractual obligations where:

- (i) the parties have entered into a contract on the basis that some fundamental thing or state of things will continue to exist, or that some particular person will continue to be available, see *Krell v Henry* [1903] 2 KB 740; and
- (ii) an unforeseen event relating to the matter stated above makes performance impossible, see *Taylor v Caldwell* [1863] 3 B & S 826, or illegal, see *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32 or possible in a very different way from that contemplated by the parties, but without default of either party.

Under *Tak Shing Investment Co Ltd v Smart Choice International Ltd* [2020] HKCFI 1317, there was a dispute which related to a three-year tenancy whereby the plaintiff (the landlord) leased to the defendant (the tenant) certain premises in Causeway Bay for non-domestic purpose.

The plaintiff sued the defendant for outstanding rent, rates and interest under the Tenancy. The defendant raised the defence of frustration by relying on:

- (i) an incident, resulting in the caving-in of a part of the pavement in Jardine's Bazaar which in turn caused temporary cordoning-off of certain roads and reduced pedestrian flow; and
- (ii) alleged structural defects such as cracks and/ or loosened bricks at the entrance to the premises leased by the plaintiff to the defendant. However, the defendant was unable to prove the existence of the alleged structural defects.

In this case, the court reiterated the general principle of frustration, namely:

"a contract may be discharged by frustration where something occurs after the formation of the contract which renders it physically or commercially impossible to fulfill the contract, or transforms the obligation to perform into one radically different to that which was undertaken when the contract was made".

The court held that the lease was not frustrated. The court referred to two of the defendant's emails. In one email, the defendant mentioned reduced pedestrian flow following the caving-in incident. In another email, the defendant requested the plaintiff to grant him a 60% reduction in rent on the ground of economic pressure caused by reduced pedestrian flow following the caving-in incident at the Jardine's Bazaar. The court was of the view that the defendant's request for a rent reduction showed his willingness to continue with the lease, which showed that there was no "impossibility of performance or entire loss of substratum".

Answer 2(b)

Like the defendant in the recent Hong Kong case *Tak Shing Investment Co Ltd v Smart Choice International Ltd* [2020] HKCFI 1317, Sam's request to Mrs Rich for a reduction in rent meant he would be willing to continue with the lease, which indicated that there was no impossibility of performance or entire loss of substratum. Further, he was unable to provide evidence for the alleged structural defects.

Under such circumstances, Sam can probably not argue that the lease agreement between him and Mrs Rich was frustrated.

Answer 3(a)

This question required the candidates to explain the different ways to create an agency.

There are four ways to create an agency:

- (i) An agency can be created by express appointment made orally or in writing.
- (ii) An agency can be created by the principal's subsequent ratification or confirmation of the contract entered into by the agent acting without or in excess of his/ her authority with a third party.
- (iii) Agency can be created by necessity whereby the agent, without any prior agreement with or authorisation of the principal, acts in good faith and for the benefit of the principal in a situation of genuine emergency and it is impossible for the agent to obtain the principal's instructions before the act is done.
- (iv) Agency can be created by estoppel whereby the principal has made certain representations by words or conduct which have the effect of misleading a third party into believing that the agent has the authority to enter into contracts on the principal's behalf and the third party has acted in reliance on this authority. Agency by estoppel is also known as apparent authority.

Answer 3(b)

This question required the candidates to discuss whether STL can be held liable for damages for the disruption to HSL's business operation.

By taking Victor to some of her clients, allowing him to take part in designing AI solutions for a few clients and even permitting him to contact a few clients of STL directly although Victor was not hired as an employee of STL, Winnie made representations to her clients (who were third parties) that Victor had authority to deal with them on behalf of STL.

In the eyes of third parties such as STL's clients, Victor had apparent authority to act on behalf of STL.

Winnie agreed to let Victor take up this project on his own without telling Mrs Nice that Victor was not an employee of STL. Therefore, a third party like Mrs Nice would believe that Victor had apparent authority to act on STL's behalf.

Therefore, STL can probably be held liable to pay damages for the loss sustained by HSL due to serious disruption of its business which was caused by Victor's negligence.

Answer 3(c)

This question required the candidates to discuss whether Peter can file a claim against Victor for damages on the grounds of negligence.

Liability for negligence is imposed on a person for his/ her careless acts which result in personal injury and damage to or loss of property. It is a civil wrong and not a crime and the wrongdoer is known as a "tortfeasor".

In order to prove the liability for negligence, the plaintiff, Peter, must establish the following four elements:

- (i) The defendant owed a duty of care to the plaintiff;
- (ii) The defendant breached the duty of care;
- (iii) The plaintiff's injury or loss/ damage is directly caused by the defendant;
- (iv) The injury or damage must be reasonably foreseeable

In the famous case of *Donoghue v Stevenson [1932] AC 562*, the judge Lord Atkin created the neighbour principle to establish the duty of care. Everyone must "take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Our neighbour is anyone closely and directly affected by my act that I ought to have them in my contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question."

Our neighbour is anyone closely and directly affected by my act that I ought to have them in my contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question.

As a driver, Victor owed a duty of care to other road users such as Peter.

Victor breached the duty of care because he did not stay focused while he was driving and as a result he ran through a red light.

Victor's act of careless driving has directly caused Peter's leg injury.

It is reasonably foreseeable that a driver's act of careless driving may cause harm to other road users like Peter.

Victor has committed negligence and is probably liable to pay damages to Peter for Peter's leg injury.

Answer 3(d)

This question required the candidates to discuss whether Victor can be held liable for all the medical expenses incurred by Peter during Peter's hospitalisation at GCH.

Lily's negligent act of giving an overdose of medicine to Peter is a *novus actus interveniens*, a Latin term for a "new intervening act".

A "new intervening act" is an independent incident which occurred subsequent to the defendant's negligent act and which caused or contributed to the ultimate harm/ injury suffered by the plaintiff.

A new intervening act serves to break the chain of causation between the defendant's act or omission and the harm/ injury suffered by the plaintiff with the effect that the defendant cannot be held liable for the ultimate harm/ injury suffered by the plaintiff.

As Lily's act of giving Peter an overdose of medicine was an intervening act which caused Peter to fall into a coma. Lily's act served to break the chain of causation between Vincent's act of careless driving and Peter's falling into a coma.

Therefore, Victor can only be held liable for the medical expenses incurred by Peter for Peter's leg injury but not for the medical expenses incurred by Peter due to Peter's falling into coma.

Answer 4(a)

This question required the candidates to discuss how a company can apply for dormant status and the advantages of being a dormant company.

An inactive company in Hong Kong which does not have any accounting transaction can declare itself dormant to save costs.

According to s.2, in relation to a company, means a transaction that is required by s.373 to be entered in the company's accounting records, e.g. receipt and expenditure of money, assets and liabilities, excluding a transaction arising from the payment of any fee that the company is required by an Ordinance to pay.

As Leo's company VDL has not had any business since its incorporation, it is an inactive company which does not have any accounting transaction.

According to s.5, the members of a private company can pass and deliver to the Registrar of Companies for registration a special resolution declaring that the company will become dormant from either the date of delivery of the special resolution to the Registrar of Companies or any later date that is specified in the special resolution.

The directors should file the special resolution with the Companies Registry within 15 days after passing the resolution.

A dormant company is not required to prepare financial statements or director's report, the appointment of auditors under s.447, hold annual general meetings (s.611) and the requirement to deliver annual return for registration (s.663).

A dormant company ceases to be dormant if there is an accounting transaction in relation to the company.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 4(b)

This question required the candidates to discuss how to de-register a private company.

Deregistration is a convenient and inexpensive way to dissolve a defunct and solvent private company.

Under s.750, a company, or a director or member of a company, may apply to the Registrar for deregistration of the company if the following requirements are met:

- (i) all the members of the company agree to the deregistration;
- (ii) the company has not commenced operation or business, or has not been in operation or carried on business during the 3 months immediately before the application;
- (iii) the company has no outstanding liabilities;
- (iv) the company is not a party to any legal proceedings;
- (v) the company's assets do not consist of any immovable property situated in Hong Kong;
- (vi) if the company is a holding company, none of its subsidiary's assets consist of any immovable property situated in Hong Kong; and
- (vii) the company has obtained a "Notice of No Objection to a Company being Deregistered" (Notice of No Objection) from the Commissioner of Inland Revenue.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 4(c)

This question required the candidates to discuss how to dissolve a solvent company which is not a defunct company.

Janice's company HPL is a solvent and profitable company which is still in normal operation. HPL is a going concern with assets and liabilities. Therefore, it cannot be dissolved by de-registration.

A solvent company (i.e. a company which can settle all of its debts in full when they fall due) which is not a defunct company can be dissolved by way of a members' voluntary winding-up.

Procedure for a members' voluntary winding-up:

1. The first step is to convene and hold a meeting of the directors to authorise:
 - (i) the issue of a certificate of solvency ("Certificate of Solvency");
 - (ii) the passing of a resolution for winding up the company in an extraordinary general meeting of the shareholders ("EGM").
2. In the Certificate of Solvency, the directors must state that they have made a full inquiry into the affairs of the company, and that after they have done so, they have formed the opinion that the company will be able to pay its debts in full within 12 months of the commencement of the liquidation.
3. The Certificate of Solvency must be accompanied by a statement of the company's assets and liabilities as at the latest practicable date before the issuing of the said certificate (s.233(1)).
4. Within 5 weeks after the issuing of the Certificate of Solvency, the EGM has to be held to pass:
 - (i) a special resolution to put the company into a member's voluntary winding-up (s.233(2)(a)) (the "Winding-Up Resolution");
 - (ii) a special resolution to appoint a liquidator(s).
5. The Certificate of Solvency must be filed with the Registrar within 15 days of the date the Winding-Up Resolution is passed (s.233(2)(a); s.117(1)).
6. The company must also submit to the Registrar a copy of the notice of appointment of the liquidator within 21 days of the appointment (s.253(1)).
7. In addition, the Winding-Up Resolution and the notice of appointment of the liquidator must be published in the Gazette within 14 days (s.229(1)) and 15 days (s.253(1)) respectively.
8. Finally, the Inland Revenue Department and the Business Registration Office must be notified of the cessation of business within one month of the passing of the Winding-Up Resolution (s.8(2) of the Business Registration Ordinance (Cap.310)).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 5(a)

This question required the candidates to discuss the duties and liabilities of a partner of a general partnership.

Partnership is defined in s.3(1) as the relation which subsists between persons carrying on business in common with a view to profit. A partnership is not a separate legal entity, and the partnership is not distinct from the partners.

In a partnership, each partner is an agent of other partners and the partnership. Therefore, all partners in a partnership owe fiduciary duties to one another.

Such fiduciary duties include:

- (i) Duty to act in good faith - As a partnership is based on mutual trust and confidence, each partner owes a duty of acting with utmost good faith and in the best interest of the partnership/ firm.
- (ii) Duty to make full disclosure - Under s.30, all partners must render true accounts and full information relating to all things which affect the partnership to all other partners.

In *Law v Law [1905] 1 Ch 140*, it was held that the sale by Partner X (the vendor) of his interest in the partnership to Partner Y (the buyer) may be set aside by Partner X because Partner Y failed to make full disclosure of the partnership, which caused Partner X to sell his interest to Partner Y at an undervalue.

- (iii) Duty to account - Under s.31(1), a partner must account to the firm for any private profit made by him/ her, without the consent of the other partners, from any transaction concerning the partnership or from using partnership property, name, or business connexion.
- (iv) Duty not to compete - Under s.32, a partner must not compete with the firm by carrying out any business of the same nature as that of the firm without the consent of the firm. If he/ she does so, he/ she must account for and repay to the firm all profits made.

As regards the liabilities of the partners, partners of a partnership bear unlimited liabilities because partners are not distinct/ separate from the partnership. This means that the partners are personally liable for the debts/ liabilities incurred by the partnership if partnership assets are insufficient to pay the debts/ liabilities of the partnership.

Under s.14, every partner in a partnership is jointly and severally liable for the loss or injury sustained by any person (not being a partner of the firm) which is caused by any wrongful act or omission of any partner acting in the ordinary course of the business of the firm or with the authority of his/ her co-partners.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Partnership Ordinance (Cap.38).

Answer 5(b)

This question required the candidates to discuss whether a creditor can sue only one partner of a partnership, although the partnership has more than one partner, for damages arising from the negligence of the partner(s) of the partnership.

Joint and several liability of a partner of a partnership under s.14 of the Partnership Ordinance means that Mr Mean can choose to proceed against only Peter but not Sylvia and John for damages arising from Sylvia and John's negligence committed working on a design project commissioned by Mr Mean, i.e., while acting in the ordinary course of the firm in the capacity as MDS.

However, Peter is entitled to recover the amount he has advanced on behalf of Sylvia and John under the s.3(1) which provides that any person who has suffered damage arising from any tort or breach of contract, breach of trust, or otherwise may seek a contribution or indemnity from any other person who is also liable in respect of the same damage.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Civil Liability (Contribution) Ordinance (Cap.377).

Answer 6

This question required the candidates to discuss whether Maggie, Sam and Nancy have committed insider dealing.

Insider Dealing is one type of market misconduct as defined under s.245. SFO was introduced in 2003 and it contains a dual civil (Part XIII) and criminal regime (Part XIV) for dealing with insider dealing. Insider dealing is pursued through the Market Misconduct Tribunal ("MMT") under the civil regime and in criminal courts under the criminal regime.

Under s.245, inside information is specific information about a corporation, a shareholder or officer, or the listed securities of the corporation or their derivatives, which is not generally known to the persons who are accustomed or would be likely to deal in the listed securities of a corporation but would if it were generally known to them likely materially affect the share price of the listed securities. Information will be specific if it is capable of being identified, defined and clearly expressed. It must not be mere rumours, vague hopes and worries, and unsubstantiated conjecture.

The most common circumstances under which insider dealing occurs are:

- (1) Under s.270(1)(a) (under the civil regime) and s.291(1)(a) (under the criminal regime), insider dealing occurs when a person connected with a listed corporation has information which he/ she knows is inside information in relation to that corporation and either he/ she:
 - deals in the corporation's listed securities or their derivatives or in those of a related corporation; or
 - counsels or procures another person to deal in such listed securities or derivatives, knowing or having reasonable cause to believe that the other person will deal in them.

- (2) Under ss.271(1)(e) and 291(5), insider dealing also occurs when a person has information which he/ she knows is inside information in relation to a listed corporation which he received, directly or indirectly, from a person whom he/ she knows is connected with the corporation:
- deals in the corporation's listed securities or their derivatives or in those of a related corporation; or
 - counsels or procures another person to deal in such listed securities or derivatives.

According to *SFC v Yik Fong Fong and others [2021] HKCFI 3351*, TeleEye Holdings Limited ("TeleEye") was listed on the GEM Board of Hong Kong Stock Exchange and engaged in the business development and sales of audio and video monitoring systems.

Yik Fong Fong ("Yik"), the 1st defendant, was actively involved the negotiations on a potential acquisition of a majority stake in TeleEye by Foxconn (Far East) Ltd., a wholly owned subsidiary of a Taiwan listed company, Hon Hai Precision Industry Co Ltd.

During the period of these negotiations and despite her involvement in the said acquisition, Yik placed orders to purchase substantial number of TeleEye shares through the securities accounts of Wei Juan ("Wei"), Yik's niece and the 2nd defendant. Huang Yi ("Huang"), the husband of Wei, the 3rd defendant also placed orders to purchase substantial number of TeleEye shares through his securities account.

The acquisition was subsequently announced and as expected, the price of TeleEye shares went up substantially. Yik then placed orders to sell a huge number of TeleEye shares from Wei/ Huang's accounts and the average sale, reaping a total profit of more than HK\$12 million.

The Court declared that the 1st defendant committed an offence of insider dealing under ss.270(1)(a)(i) and 291(1)(a) who dealt in the shares of TeleEye in the capacity of a connected person in possession of inside information.

As for Wei and Huang, the Court declared that they committed offences of insider dealing under ss.270(1)(e)(i) and 291(5)(a) because the purchase of the TeleEye shares coincided with the progress of the negotiations so that the only reasonable inference to be drawn was that they had been told by Yik about information which was inside information and that they knew that the Yik was a person connected with TeleEye.

The Court did not accept the defence raised by Wei that during the negotiations, she was giving birth to her baby and hence was not concerned about what securities were purchased or sold through her such accounts.

Negotiations about the acquisition of a majority stake in HGL by HWL, which was not yet announced and was price sensitive, definitely constituted inside information.

Based on *Yik Fong Fong* case, it is very likely that Maggie has committed the offence of insider dealing under ss.270(1)(a)(i) and 291(1)(a) by dealing in the shares of HGL in the capacity of a connected person in possession of inside information.

Based on the *Yik Fong Fong* case, it is likely that Sam and Nancy have committed the offence of insider dealing under ss.271(1)(e) and 291(5) as they had probably obtained inside information from Maggie and allowed the purchase and sale of the shares of HGL to be conducted through their accounts during the period of negotiations between HGL and HWL.

Nancy's defence, namely that she did not care about what shares had been bought and sold through her securities account because she had to take care of her sick mother at the material times, will probably not be accepted by the Court if she is subsequently charged with insider dealing.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

* * * END OF EXAMINATION PAPER * * *